



Credit Analysis Project

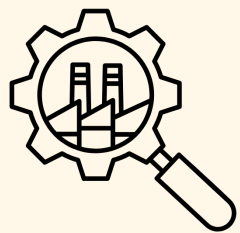
Table of Contents



Project Context & Objectives



Financial Statements Analysis



Industry Analysis



Concluding Thoughts



Project Context & Objectives



The purpose of the project is to perform a credit risk assessment on Green Solutions Manufacturing Ltd

This is a portfolio project to showcase my skills and understanding on credit analysis by analysing Green Solutions Manufacturing Ltd's financial statements

- Green Solutions Manufacturing Ltd is a multinational manufacturing company that is renowned for its innovative, eco-friendly products and commitment to sustainability.
- They specialise in manufacturing sustainable drinkware (including reusable water bottles and coffee cups) with a particular focus on sustainable practices.

To evaluate the company's eligibility for credit, analysis was done in two parts, an indepth financial analysis (quantitative analysis) and industry research (qualitative analysis):

1

In Depth Financial analysis

- Financial statement analysis to assess client's financial stability.
- Interpret and evaluate financial data.
- Conduct risk assessment using key financial ratios.

2

Industry Research

- Perform industry research in order to understand macroeconomic trends that may impact Green Solutions Manufacturing Ltd.

Financial Statements Analysis



Revenue has significantly increased while direct and operational costs were well managed

The income statement shows that Greens Solutions significantly increased their profitability and remained efficient in managing expenses

Interest income/expense

- Net interest expense has decreased almost by half due to increased interest income and decreased interest expense
- The business has paid a significant amount of their debt

EBITDA

- Has significantly increased due to increased operational profitability
- The EBITDA margins have doubled, shows that the business has become more efficient in making money and managing expenses
- The business is generating enough cash to cover operational activities and debt

Green Solutions Manufacturing Ltd.		
Income Statement		
	Actual	Actual
£'K	31-Dec-22	31-Dec-23
Revenue	31 536	53 823
Cost of sales	24 906	40 217
Efficiency Ratio	79%	75%
Gross Profit	6 630	13 606
Research and development	1 491	2 593
Selling, general and administrative	3 145	4 517
Restructuring and other	-	(27)
Income (loss) from operations	1 994	6 523
Interest income	30	56
Interest expense	(748)	(371)
Other income (expense), net	(122)	135
Profit Before Tax (PBT)	1 154	6 343
Tax	292	699
Profit After Tax (PAT)	862	5 644
Net income attributable to noncontrolling	141	125
Total Comprehensive (loss)/ income	721	5 519
EBITDA computation		
Operating profit	1 994	6 523
Depreciation & Amortisation	(500)	(1 000)
Depreciation	(500)	(1 000)
Amortisation		
EBITDA	1 494	5 523
EBITDA Margin	5%	10%

Revenue

- It has increased by 70.7% due to increased demand

Profit before/after tax

- Has increased by 5x compared to the previous year
- Increased as a result of increased EBITDA
- Business is in a healthy financial position

Overall assets, liabilities and equity have increased, but non-current liabilities have decreased by 23.5%

Green Solutions Manufacturing Ltd. Balance Sheet		
	Actual	Actual
£'K	31-Dec-22	31-Dec-23
Assets		
Non-Current Assets		
Operating lease vehicles, net	3 091	4 511
Solar energy systems, net	5 979	5 765
Property, plant and equipment, net	12 747	18 884
Operating lease right-of-use assets	1 558	2 016
Digital assets, net	-	1 260
Intangible assets, net	313	257
Goodwill	207	200
Other non-current assets	1 526	2 128
Total Non-Current Assets	25 431	35 031
Current Assets		
Cash and cash equivalents	19 384	17 576
Short-term marketable securities	-	131
Accounts receivable, net	1 886	1 913
Inventories	4 101	5 757
Prepaid expenses and other current assets	1 346	1 723
Total Current Assets	26 717	27 100
Total Assets	52 148	62 131

Assets

- The overall value assets have increased by 19.1%, mostly coming from non-current assets.
- Inventory has increased by 40%, which is consistent with the increase in sales
- However the value of cash and cash equivalents have slightly decreased, probably to support capital expenditure

Green Solutions Manufacturing Ltd. Balance Sheet		
	Actual	Actual
£'K	31-Dec-22	31-Dec-23
Liabilities & Equity		
Liabilities		
Current Liabilities		
Accounts payable	6 051	10 025
Accrued liabilities and other	3 855	5 719
Deferred revenue	1 458	1 447
Customer deposits	752	925
Current portion of debt and finance leases	2 132	1 589
Total Current Liabilities	14 248	19 705
Non-Current Liabilities		
Debt and finance leases, net of current portion	9 556	5 245
Deferred revenue, net of current portion	1 284	2 052
Other long-term liabilities	3 330	3 546
Total Non-Current Liabilities	14 170	10 843
Total Liabilities	28 418	30 548
Redeemable noncontrolling interests in subsidiaries	604	568
Convertible senior notes (Note 11)	51	-

Liabilities

- The overall liabilities have increased by 7.5%
- Current liabilities make up the overall increase because they increased by 38%
- While non-current liabilities have decreased by 23.5%.
- The business has paid off some of their long-term debt

Green Solutions Manufacturing Ltd. Balance Sheet		
	Actual	Actual
£'K	31-Dec-22	31-Dec-23
Equity		
Common stock	1	1
Additional paid-in capital	27 260	29 803
Accumulated other comprehensive income	363	54
Retained earnings (accumulated deficit)	(5 399)	331
Noncontrolling interests in subsidiaries	850	826
Total Equity	23 075	31 015
Total Liabilities & Equity	52 148	62 131
Check	-	-
Net Working Capital		
Change in Inventory		1 656
Change in Receivables		27
Change in Payables		3 974
Change in NWC		5 657

Equity

- The equity has increased by 34% due to continued profit accumulation
- Retained earnings have transitioned from an accumulated deficit to cumulative profitability. This puts the company in a position to pay dividends

The business is in a rapid growth stage, increasing their operational activities and doubling their capital expenditure

The financial strategy is clear, the business is increasing their operational activities to fund their growth (investing activities) and settle their long-term debt, while managing their operational costs.

Green Solutions Manufacturing Ltd. Cash Flow Statement		
£'K	Actual 31-Dec-22	Actual 31-Dec-23
Cash Flows from Operating Activities		
Net income (loss)	862	5 644
Adjustments to reconcile net income (loss) to net cash provided by operating activities:		
Depreciation, amortization and impairment	2 322	2 911
Stock-based compensation	1 734	2 121
Inventory and purchase commitments write-downs	202	140
Foreign currency transaction net unrealized (gain) loss	114	(55)
Non-cash interest and other operating activities	525	245
Digital assets gain, net	-	(78)
Operating cash flow related to repayment of discounted convertible senior notes	-	-
Changes in operating assets and liabilities:		
Accounts receivable	(652)	(130)
Inventory	(422)	(1 709)
Operating lease vehicles	(1 072)	(2 114)
Prepaid expenses and other current assets	(251)	(271)
Other non-current assets	(344)	(1 291)
Accounts payable and accrued liabilities	2 102	4 578
Deferred revenue	321	793
Customer deposits	7	186
Other long-term liabilities	495	476
Net cash provided by operating activities	5 943	11 446
Cash Flows from Investing Activities		
Purchases of property and equipment excluding finance leases, net of sales	(3 157)	(6 482)
Purchases of solar energy systems, net of sales	(75)	(32)
Purchases of digital assets	-	(1 500)
Proceeds from sales of digital assets	-	272
Purchases of marketable securities	-	(132)
Receipt of government grants	123	6
Purchase of intangible assets	(10)	-
Business combinations, net of cash acquired	(13)	-
Net cash used in investing activities	(3 132)	(7 868)

Operating Activities

- Cash provided by operating activities have increased by 92.6%
- The core business functions are generating cash to fund growth

Investing Activities

- The business is in a growth phase because capital expenditure has more than doubled
- Invested in property and equipment

Financing Activities

- In 2023 the business did not use public stocks to raise funds like in 2022
- Took 8.5% less loans compared to 2023
- More money was used to pay their debt
- As a result Cash and cash equivalents decreased by 9.3%

Green Solutions Manufacturing Ltd. Cash Flow Statement		
£'K	Actual 31-Dec-22	Actual 31-Dec-23
Cash Flows from Financing Activities		
Proceeds from issuances of common stock in public offerings, net of issuance costs	12 269	-
Proceeds from issuances of convertible and other debt	9 713	8 883
Repayments of convertible and other debt	(11 623)	(14 167)
Collateralized lease repayments	(240)	(9)
Proceeds from exercises of stock options and other stock issuances	417	707
Principal payments on finance leases	(338)	(439)
Debt issuance costs	(6)	(9)
Purchase of convertible note hedges	-	-
Proceeds from issuance of warrants	-	-
Proceeds from investments by noncontrolling interests in subsidiaries	24	2
Distributions paid to noncontrolling interests in subsidiaries	(208)	(161)
Payments for buy-outs of noncontrolling interests in subsidiaries	(35)	(10)
Net cash (used in) provided by financing activities	9 973	(5 203)
Effect of exchange rate changes on cash and cash equivalents and restricted cash	334	(183)
Net (decrease) increase in cash and cash equivalents and restricted cash	13 118	(1 808)
Cash and cash equivalents and restricted cash, beginning of period	6 266	19 384
Cash and cash equivalents and restricted cash, end of period	19 384	17 576
Supplemental Non-Cash Investing and Financing Activities		
Equity issued in connection with business combination	-	-
Acquisitions of property and equipment included in liabilities	1 088	2 251
Supplemental Disclosures		
Cash paid during the period for interest, net of amounts capitalized	444	266
Cash paid during the period for taxes, net of refunds	115	561
Increase / (decrease) in cash and cash equivalents	13 118	(1 808)
Cash and cash equivalents at the beginning of the year	6 266	19 384
Cash and cash equivalents at the end of the year	19 384	17 576

Key financial ratios show that the business is in a healthy and stable financial position

	31-Dec-2022	31-Dec-23	What does it mean for the business?
Liquidity Ratio			
Current Ratio (Current Assets/Current Liabilities)	1.88	1.38	Current ratio has slightly decreased but it is still in the healthy and safe zone. It shows the current assets have decreased relative to current liabilities. The company is still able to handle unexpected drops in sales or sudden emergency expenses
Profitability Ratio			
EBITDA Margin (EBITDA/ Revenue)	4.70%	10.30%	It has more than doubled because the EBITDA has increased while managing direct costs well. The company has significantly improved their profitability
Operating Margin (Operating Profit/ Revenue)	0.06	0.12	Efficiency has doubled. Operating income has increased while variable costs have been contained
Solvency and Leverage Ratios			
Leverage Metric (Total Debt/EBITDA)	7.82	1.24	The debt to profitability ratio has significantly improved. It has decreased by 84%, the company has managed their debt well while increasing income.
Net Leverage ((Total Debt - Cash and cash equivalents)/ EBITDA)	-5.15	-1.94	Has increased by 62%, mainly driven by leverage metric but slightly offset by a decrease in the cash balance
Coverage Ratios			
EBITDA Net Interest Cover (EBITDA/ Interest Expense)	2.08	17.53	It has significantly increased because net interest payments have decreased while EBITDA has significantly increased.
Efficiency and Capital Allocation Ratios			
Cash Flow to Capital Expenditure (Cash Flow/ CapEx)	-1.83	-1.43	Has slightly decreased due to increased capital expenditure relative to cash flow generated from operating activities. The business is not generating enough cash to cover their expansion costs, they need to tap into their cash reserves or take out more loans

Industry Analysis



The reusable water bottle market is expected to surpass US\$ 11.5 Billion by 2034

The reusable water bottle market is growing exponentially, it was worth US\$ 8,8 Billion in 2024 and adoption is predicted to expand at a CAGR of 2.8% through 2034, reaching an overall value of US\$11.5 Billion.

The growth and demand in the market are mainly driven by the following factors:



Environmental concerns: There is an increased awareness about plastic pollution and its effects on ecosystems, resulting in an increase in consumers opting for reusable alternatives.



Government regulations and initiatives: Are banning single use plastics, further propelling the demand for reusable bottles.



Health and wellness trends: Are encouraging consumers to opt for reusable water bottles to stay hydrated and reduce consumption of sugary beverages – promoting a healthier lifestyle.

As the market is growing the landscape is becoming increasingly competitive with key players ranging from established to niched brands

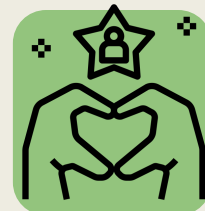


Established brands, including household names in beverage and outdoor gear sectors, leverage their brand recognition, extensive distribution networks, and economies of scales to maintain competitive advantages



Innovative start ups and niche players are disrupting the market with novel materials, designs and business models focused on sustainability and convenience.

Competition in the market landscape is driven by the following...



Brand lifestyle & Viral Marketing: Success in this market relies heavily on brand identity and social proof. Established brands like Stanley and Yeti compete on viral social media presence, lifestyle associations and influencer endorsements rather functionality alone.



Product Quality: Focus on stainless steel, glass and biodegradable plastics. The bottles should have great thermal performance, have no leaks, be resistant to rust, drops, dents, and dishwasher wear is critical for long-term customer loyalty.



Design aesthetics: The shapes should be ergonomic, specifically designed to fit into standard car cup-holders and gym equipment slots. Additionally they should be customizable to allow consumers to express their individuality through a bottle.



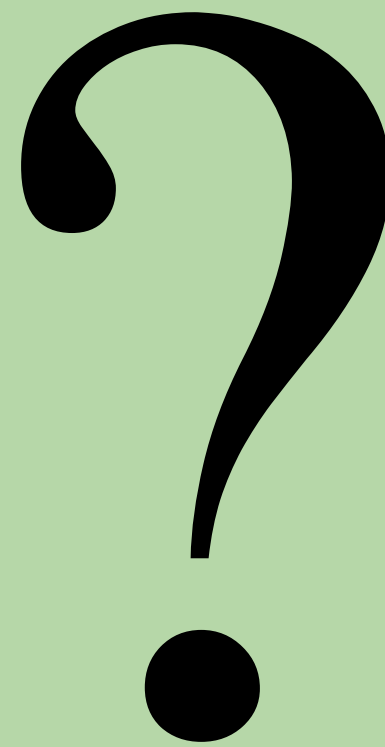
Affordability: Consumers are willing to spend a premium if the quality and brand lifestyle justify the price. For most consumers, premium and high quality yet accessible is most preferred..



Sustainability Credentials: The brand should tell a strong ESG narrative, help consumers reduce their plastic footprint and avoid microplastic ingestion from single-use packaging.

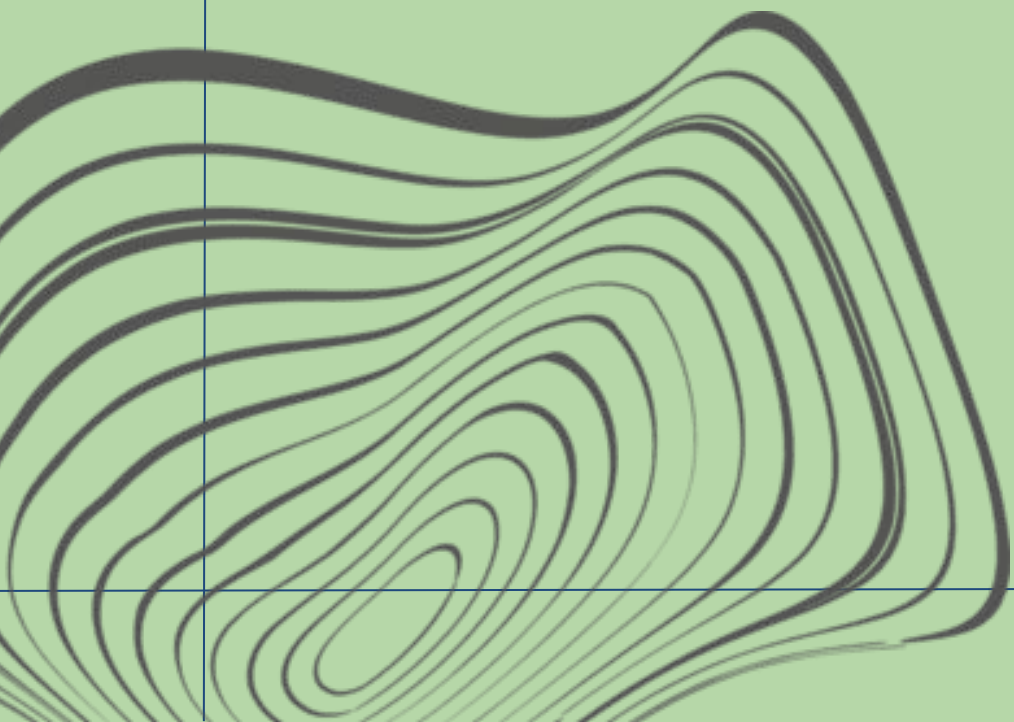
Concluding Thoughts





The credit assessment needed to answer these big questions

1. Based on Green Solutions Manufacturing Ltd's financial statements, how risky is it to approve a business loan?
2. What are the key risks and how can they be mitigated?
3. Looking at the market landscape, how are the long-term growth prospects?



The key risks are clear...

- **Liquidity Risk:** The slight drop in cash and cash equivalents and current asset ratio requires close monitoring to ensure the company can meet its short-term obligations.
- **Capital Expenditure Risk:** While increased capital expenditure supports growth, it also strains free cash flow. Ensuring a balance between investment and liquidity is crucial.
- **Leverage Risk:** Although the leverage metric has improved significantly, the increase in net leverage due to a decrease in cash balance poses a potential risk.
- **Inventory Risk:** The substantial increase in inventory must be managed efficiently to prevent overstocking and related costs.



It is evident that the eco-friendly products market is growing and lucrative in the long term. Green Solutions Manufacturing Ltd's current financial position and market demand have positioned the business to grow with the upward trends and expand.

Given that the business is a long standing client, they are in a healthy financial position and are operating in a growing market. They can be considered a low risk client.

This is how they can be mitigated

- **Enhance Liquidity Management:** Implement strategies to improve cash reserves and optimize current asset management.
- **Monitor Capital Expenditure:** Ensure that capital investments are aligned with cash flow capabilities to maintain financial stability.
- **Leverage Optimization:** Continue to focus on reducing leverage by increasing profitability and maintaining a healthy cash balance.
- **Efficient Inventory Management:** Streamline inventory processes to align with sales growth and minimize holding costs.

The End

